

and turned his attention back to stocks. But not Harshad, who wanted to prove a point, no matter what.

Just the previous year, Harshad had nearly defaulted on a trade in SPIC. His rivals, led by Manu Manek, had made a near-foolproof plan to bleed him financially. Harshad had big buy positions in shares of SPIC in his personal capacity as well as on behalf of his clients. A listless Union Budget had soured market sentiment in general, and SPIC was among the major casualties. The stock crashed from Rs 180 to Rs 125 within a couple of trading sessions.

Suddenly, rumours began doing the rounds that Harshad would default on his pay-in obligation to the stock exchange. If a broker buys shares, he has an obligation to the stock exchange to pay money (pay-in of funds) for the shares on settlement day. If he sells shares, he has to deliver the shares, or make a pay-in of shares to the exchange on settlement day.

The bears were trying their best to further depress the appetite for SPIC and hammer its price down by unnerving the bulls into liquidating their positions. Had the stock price fallen further, Harshad would have found it difficult to get financiers to carry forward the trade to the next settlement. On the advice of a trusted broker friend, Harshad decided to make the pay-in of funds for SPIC ahead of schedule. He made the pay-in and requested M. R. Mayya, executive director of the BSE, to announce it on the stock exchange notice board. Mayya declined to do that, citing exchange rules. But he assured Harshad that he would confirm the development to anybody who came checking its veracity.

The move helped, but only to the extent that the bears backed off from hammering SPIC shares further. But it was not a clean win for Harshad, who had to stretch himself to pay the funds ahead of schedule. Some of his clients were cooperative and paid up, but there were others who refused. The net result was that Harshad's firm had to absorb a good part of the losses arising from the steep fall in the stock price of SPIC.

In 1987, when Harshad first tried to gain a foothold in the cloistered club of money market brokers, there was not much action in the market. Banks had to keep almost half of their deposits aside to meet the Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) norms set by the Reserve Bank of India (RBI).

CRR, which helps RBI control the money flow in the system, is the proportion of deposits that banks must deposit with RBI. A CRR of 4 per